Question 1: Solution

The following points from the meeting should be reported to those charged with governance.

Non-compliance with laws and regulations – unauthorised discharge.

Under *ISA (UK) 250-A Consideration of Laws & Regulations in an Audit of Financial Statements*, an auditor should report all instances of non-compliance with laws and regulations that come to their attention to those charged with corporate governance. **(1 mark)**

Therefore, the details of the unauthorised discharge of contaminated wastewater **(1 mark)** should be reportedto those charged with governance. **(1 mark)**

Identified fraud – theft of computer equipment.

Under ISA (UK) 240 *The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements*, an auditor should report all instances of actual or suspected fraud identified. **(1 mark)**The theft of computer equipment detected during the year constitutes a misappropriation of assets**(1 mark)** and should be reported to those charged with governance. **(1 mark)**

Weakness in internal controls – no requisition form and authorisation.

Under ISA 265 *Communicating Deficiencies in Internal Control to Those Charged with Governanceand Management*, the auditor should communicate any significant deficiencies in internal control. **(1mark)**

The results of the internal controls testing demonstrated that purchasing within the company could be performed on items that were not authorised by the heads of departments. **(1 mark)**

This could result in unauthorised purchases that could be used for personal use. This demonstrates a significant weakness in internal controls **(1 mark)** and should be reported to those charged with governance. **(1 mark)**

Estimate – provision for inventory

The inventory provision has required significant estimates from directors in relation to the resale valueof inventory. **(1 mark)**

It has been a material and highly judgemental area **(1 mark)** and, as such, the auditor will need to communicate their views on this matter to those charged with governance. **(1 mark)**

Question 2: Solution

Evaluation of cash flow forecast and assumptions and further evidence to be obtained and audit procedures to be performed to obtain appropriate assurance over management's going concern assumption.

In order to ensure compliance with ISA 570 *Going Concern*, there are a number of procedures required to be performed by the auditor over management's going concern assessment. Firstly, we evaluate the method used to perform the going concern assessment, confirming it is appropriate to the applicable financial reporting framework. **(1 mark)**

We must then evaluate the relevance and reliability of data used to assess going concerns and evaluate the appropriateness and consistency of the assumptions made. The data used by management is the cash flow forecast for the year ended 31 August 20X1 and is evaluated as follows:

Period covered

To ensure compliance with ISA (UK) 570 we are required to gain assurance that the management's assessment has covered a period of at least 12 months from the date of approval of the financial statements. **(1 mark)** The signing date for Kitchen's financial statements is 23 December 20X0, although cash flow forecasts have only been provided for the 12 months from the year-end of 31 August 20X0. **(1 mark)**

Additional cash flow forecasts for at least the remaining four-month period should be obtained and reviewed. **(1 mark**) The basis of preparation of these additional forecasts, and the underlying assumptions, should be reviewed and corroborated where possible. **(1 mark)**

Product Sales – new product line

Per the commentary attached to the cashflow forecast, sales to date for the new oven cleaning service have been below forecast levels which casts doubt on the level of receipts forecast from product sales. **(1 mark)** Additional audit evidence should be obtained to confirm sales projections such as copies of customer orders/contracts for the service. **(1 mark)** In addition, the management accounts and sales analysis data for the periods since the year-end should be reviewed **(1 mark)** to confirm the sales projections within the cash flow forecast are supported. **(1 mark)**

Emergence of a successful competitor

Market research has indicated that a new competitor has entered the market that is selling a range of products which is very similar to Kitchen's. **(1 mark)** This puts sales within the cash flow forecast from the established product lines **(1 mark)** at further risk of overstatement. **(1 mark)**

Additional audit evidence should be obtained to confirm whether actual sales in the months since the year-end have been in line with the projections in the cash flow forecast. **(1 mark)** This should cover sales of allproduct lines and can be done by reviewing the management accounts and underlying sales analyses.**(1 mark)**

In addition, enquiries should be made to the sales team **(1 mark)** as to whether any customer contracts have been cancelled or volumes significantly reduced due to customers moving business to the new competitor. **(1 mark)**

Renegotiation of contract with supplier

The ongoing contract negotiations with the supplier around rebates puts the supplier rebates cash receipts from December 20X0 onwards at risk of being overstated, **(1 mark)** as rebates are paid two months after the related purchases. **(1 mark)** Additional audit evidence should be obtained from the legal team to confirm the current status and likely outcome of the negotiations **(1 mark)** in order to assess whether the forecast rebates are consistent with the expected contract terms. **(1 mark)**

Net current liability position

Per the board meeting minutes, the balance sheet at 30 November 20X0 shows a net current liability position with the bank overdraft coming close to its limit, **(1 mark)** which highlights that the company may not have sufficient assets **(1 mark)** to meet its short-term debts. **(1 mark)**

We should obtain a forecast statement of financial position **(1 mark)** to determine if the net current liability position has been addressed and whether the company is now forecasting a net current assets position. **(1 mark)**

Review current year bank statements to determine the extent of utilisation of the overdraft facility and to determine whether there have been any breaches **(1 mark)** and enquire of the FD whether the bank has confirmed whether there is any additional short-term overdraft facility in the event of a breach. **(1 mark)**

Timing of loan repayments

The cash flow forecast includes loan repayments of only £2.8k in the quarter to February 20X1. **(1 mark)** This appears odd given the other quarterly repayments **(1 mark)** and could indicate that not all monthly repayments have been included in the cashflow forecast. **(1 mark)** We should enquire of managementas to the basis of preparation of the cashflow forecast in this respect, **(1 mark)** inspect the loan documentation from the bank to confirm that a payment break is allowable under the loan agreement or obtain other confirmation from the bank via correspondence that this has been agreed. **(1 mark)**

New term loan

The cash flow forecast includes a cash inflow from a new fixed-term loan on the same repayment basis as the current loan. **(1 mark)** There is no guarantee that such a deal would be available again. **(1 mark)** We should enquire of management whether the company has commenced discussions to obtain the loan **(1 mark)** and obtain a copy of any draft loan documentation **(1 mark)** to support the likely repayment termsand their basis of recording in these financial projections. **(1 mark)**

Expenses not included – corporation tax and interest

The company has forecast to continue as a going concern and to be profitable over the 12-month period of the cash flow forecast. It is therefore likely to be liable to pay corporation tax. **(1 mark)** However, the forecast doesn't include provision for payment of corporation tax within expenses nor does it include interest on the current or expected new loan. **(1 mark)** These payments should be included to represent a more accurate forecast. **(1 mark)**

Quarterly projections

The cash flow projections are quarterly **(1 mark)** which is not sufficient for management to effectively control cash flows. **(1 mark)** Given the timing and delays encountered around rebate payments, deviations from expected sales performance, the identified net current liability position at 30 November and the fluctuations that the company experiences in its 'normal' working capital cycle, **(1 mark)** the company may not have sufficient funding to meet debts as they fall due. **(1 mark)**. We should obtain, if available,cash flow projections prepared on a monthly basis. **(1 mark)**

Further procedures

- Evaluate management's plans for future actions relating to the going concern assessment **(1 mark)** and any other additional facts or information that have come to light since the initial going concernassessment. (**1 mark)**
- Inquire of management as to whether any contingency plans are in place should additional fundingnot be obtained and review these for reasonableness. **(1 mark)**
- Obtain confirmation from Kitchen's lawyers that there are no other ongoing legal matters that couldgive rise to unrecorded liabilities and cash outflows or otherwise have a material effect on the company's ability to continue as a going concern. **(1 mark)**
- Request written representations regarding management's future actions and the feasibility of suchplans**. (1 mark)**